INDEPENDENT PRIVATE EQUITY INVESTMENT CASE

Senior Living Acquisition and Value Creation Intelligence

Cima Investment Group | North Texas portfolio and The Reserve at Katy
Investment committee memo | November 2, 2026

19.2%	2.19x	$53.1M	1.94x
North Texas, base IRR	North Texas, equity multiple	Maximum modeled bid	Minimum base DSCR

Preliminary decision: Conditional hold for confirmatory diligence

The modeled acquisition clears a hypothetical 15% required levered return in the base case. That is a statement about the assumptions, not a recommendation to buy the actual assets. The purchase price, rent roll, property-level NOI, loan terms, and regulatory records have not been verified. The downside scenario produces a material loan repayment gap and does not support an unconditional acquisition.

The North Texas illustration assumes a **$48.5M** purchase price, or **$135,000 per residence**, against a calculated maximum bid of **$53.1M**. This leaves approximately **9.6%** modeled price headroom before the assumed 15% hurdle is breached. This value is conditional on all other underwriting inputs.

Investment case	Assessment
North Texas, 10 communities / 359 residences	Primary acquisition and turnaround case. Based on September 2026 public Cima announcement.
The Reserve at Katy / 82 residences	Secondary single-community illustration. Cima acquired it in June 2025 and announced completed renovations in April 2026.
Investment status	Research demonstration only. All six cases are independent hypothetical cash-flow scenarios.
Critical gating information	T24 property financials, rent rolls, licenses, resident safety, property tax, debt term sheets and capital estimates.

Independent educational analysis. Not an appraisal or a Cima-sponsored investment recommendation.

1. Transaction context and investment thesis

What is publicly established

Cima disclosed that it acquired 10 private-pay assisted living communities totaling 359 residences across North Texas from Fannie Mae. It described the portfolio as having high in-place occupancy and a value creation plan focused on operational management, resident programming, service standards and targeted property improvements. Cima did not publish the acquired assets' purchase consideration, community-by-community unit mix, trailing NOI or financing details.

Cima separately acquired The Reserve at Katy, an 82-residence assisted living and memory care facility, in June 2025. The company announced the completion of an extensive renovation in April 2026. The Katy underwriting in this case is a prospective hypothetical acquisition illustration, not a re-creation of the actual transaction or renovation budget.

Why senior living can be attractive

NIC reported Q3 2026 national senior housing occupancy of 90.4%, including 89.1% for assisted living, with extremely limited inventory growth. The broad demand backdrop supports researching operationally challenged assets. It does not by itself prove that a specific property will lease to stabilized occupancy, raise rates, or meet care obligations.

Investment hypothesis

A disciplined owner-operator can create value by improving move-in conversion, clinical retention, billing accuracy, unit readiness and labor scheduling while preserving care quality. Value is realized only if the resulting incremental NOI exceeds the cost of renovation, operating disruption, debt financing, compliance and management oversight.

Explicit counter-thesis

High national occupancy may lead to overpayment or unrealistic stabilization targets. Senior housing is operationally intensive, labor and insurance costs can increase faster than revenues, and a weak sale market can remove much of an investor's equity despite strong operating progress. The downside case illustrates this vulnerability.

2. Core modeling assumptions

Model parameter	North Texas	Katy
Verified residential units	359	82
Hypothetical acquisition $ / unit	$135,000	$140,000
Hypothetical acquisition value	$48.5M	$11.5M
Acquisition occupancy	87%	78%
Target stabilized occupancy	93%	91%
Starting monthly resident rent	$5,100	$5,400
Annual room rate growth	3%	3%
Upfront renovation per unit	$10,000	$12,000
Mortgage loan-to-value	60%	60%
Annual coupon	7.5%	7%
Exit cap rate	8%	7.5%
Annual hold / amortization	5 years / 25 years	5 years / 25 years

All financial assumptions above can be edited in the Inputs tab. Stress factors are separately editable in Scenarios. Blue values on pale yellow cells identify source facts or analyst assumptions.

3. Underwriting results and downside asymmetry

Case	Levered IRR	Equity MOIC	Gross exit value	Minimum annual DSCR
North Texas base	19.2%	2.19x	$69.3M	1.94x
North Texas downside	N/M	0.00x	$22.9M	0.67x
North Texas upside	33.5%	3.51x	$94.5M	2.56x
Katy base	18.6%	2.19x	$17.0M	1.77x
Katy downside	N/M	0.00x	$5.1M	0.32x
Katy upside	33.1%	3.58x	$23.6M	2.44x

North Texas: base underwriting

The illustrative North Texas case produces **$4.6M** of Year 1 property NOI and **$5.5M** in Year 5. Estimated exit value is **$69.3M** based on capitalizing Year 5 NOI at the assumed 8% exit capitalization rate. Loan payoff at exit is **$27.2M**. The resulting base-case IRR is **19.2%**, with **2.19x** investor equity multiple. Those are model outputs, not actual asset economics.

North Texas: the decisive risk is a thin exit cushion under stress

With an 8-point occupancy setback, 5% lower rents, 10% higher labor expense and a 100-basis-point wider cap rate, the downside asset gross exit value falls to **$22.9M**, below a modeled mortgage balloon of **$27.2M**. The pre-selling-cost shortfall is **$4.3M**. Minimum annual modeled DSCR falls to **0.67x**. The model assumes the sponsor supplies any cash required to repay the lender at sale. It does not model foreclosure, recourse limitations, debt workouts or bankruptcy; real-world loss allocation could differ materially.

In the downside model, an IRR may be not meaningful because the modeled equity cash-flow sequence never changes sign positively enough to yield a conventional root. Treat this as a severe capital impairment stress, not a zero-return investment.

Katy: narrower size, comparable pricing discipline

For Katy, the **$11.5M** modeled acquisition supports a **18.6%** base levered IRR and **1.77x** minimum annual coverage. Its modeled bid limit of **$12.5M** represents **8.9%** price cushion. Katy's actual renovation history is documented, but this hypothetical upfront capex should not be mistaken for its historical expenditures.

Interpretation

The scenario range is intentionally wide because valuation depends on a combination of operating effectiveness and exit liquidity. The investment team should first validate existing NOI and unit-level rent economics. It should then constrain purchase price by the downside DSCR and asset-specific property risk rather than maximizing leverage to reach the model return.

4. Pricing discipline and decision gates

Valuation approach

Annual gross revenue equals forecast occupied residences multiplied by modeled monthly rent and ancillary fees. Operating expenses reflect fixed staffing, acuity-sensitive care labor, overhead, revenue-variable services, taxes, insurance and management fees. After recurring capital reserves, levered cash flow subtracts scheduled loan service. On Year 5 exit, the model capitalizes Year 5 NOI and subtracts disposition expenses and the outstanding loan.

The maximum modeled purchase price is solved using the target 15% annual levered return, discounted five-year property cash flow, capital requirements, financing costs, annual debt payments and the closing mortgage payoff. It is sensitive to every case assumption and does not represent broker price guidance or a lender commitment.

Metric	North Texas	Katy
Illustrative purchase price	$48.5M	$11.5M
Modeled maximum bid	$53.1M	$12.5M
Absolute price cushion	$4.7M	$1.0M
Price cushion (%)	9.6%	8.9%
Modeled maximum bid / unit	$147,993	$152,464
Current modeled DSCR floor	1.94x	1.77x

No-go and escalation rules

Gate	Required response / decision
Resident safety / licensing	No approval with unresolved immediate-jeopardy deficiencies, unsafe staffing or impaired licensing. Obtain clinical review and a funded remediation plan.
Property NOI quality	Reconcile trailing 24 months financials, census, accounts receivable, care fees and non-recurring owner adjustments.
Credit discipline	Require lender-confirmed covenant coverage, renovation liquidity, interest reserve and property-by-property debt allocation.
Purchase price	Re-run each property at a signed debt structure and property-specific financials. Escalate any price above a risk-adjusted bid ceiling.
Exit liquidity	Stress lower buyer leverage, softer cap rates, slower occupancy and a loan extension. Avoid assuming a frictionless sale at a favorable market cap rate.
Portfolio aggregation	Independently score all 10 communities. An aggregated 359-unit average can mask one or more loss-making assets.

Recommendation

HOLD FOR DILIGENCE until data are available. If confirmed property NOI, licensing and lender terms support the model without aggressive stabilization or excessive leverage, prioritize a disciplined bid at or below the independently validated return threshold. Otherwise decline or restructure the transaction.

5. Confirmatory diligence request list

Priority	Required item	Investment rationale
Critical	T24 P&L by asset, full general ledger, bank statements	Normalize property-level EBITDA and actual debt service capacity.
Critical	Unit-level rent rolls, move-ins/outs, concessions, aged AR	Validate current physical and economic occupancy and collections.
Critical	Texas license status, surveys, adverse events, incident reports	Test regulatory risk, care quality and liabilities.
Critical	Staff census, agency hours, acuity ratios, wages and benefits	Reconcile modeled labor costs without unsafe staffing assumptions.
Critical	Property condition assessments and contractor quotes	Tie valuation to immediate and future capital needs.
Critical	Debt term sheet: cash sweep, reserves, covenants, recourse	Determine whether a 60% LTV deal can actually be financed.
High	Insurance terms, claims history, property reassessment exposure	Quantify unmodeled fixed expenses and exclusions.
High	Local comps, household affordability, demographics, supply pipeline	Validate lease-up target and ability to raise effective rates.
High	SPV structure, management contract, promote and LP reporting	Verify real fund fees, distribution economics and governance.

Investment committee package checklist

The underwriting workbook should ultimately be accompanied by a signed sources-and-uses schedule, 24-month monthly operating history, acquisition capex plan, property-level lender sizing, a debt term sheet, a 10-community aggregation bridge, sensitivity analyses, licensing diligence, documented comparable transactions and counsel-reviewed investment structures. Until those items are available, the attached workbook remains a demonstration model.

6. Investor economics and reporting

Illustrative North Texas SPV metric	Modeled result
LP capital contribution	$21.8M
GP co-investment	$2.4M
LP annual effective IRR	18.4%
GP annual effective IRR	25.4%
LP total distributions	$46.2M
GP total distributions	$6.8M

Investor allocations model return of capital, 8% LP preferred return and 20% GP residual promote. These are not Cima's actual terms. Catch-up, clawback, tax and fee mechanics are excluded.

7. First 100 days: execution priorities

The first operating priority is resident safety. A successful financial turnaround must strengthen care quality, staff engagement and family trust while building reliable operational data. The milestones below are proposed analyst initiatives, not a description of Cima's actual post-close activities.

Phase	Objective	Operational milestone
Day 0-15	Protect residents and validate baseline	Clinical staffing, licenses, surveys and incident log review. Daily resident safety escalation and rent-roll-to-cash reconciliation.
Day 15-30	Diagnose occupancy and unit availability	Build lead response, tour conversion and move-in dashboard. Inspect vacant units. Review five or more market comps.
Day 30-60	Improve revenue quality	Resolve permitted care-charge underbilling, reduce avoidable concessions, improve move-in handoffs and restore resident / family trust.
Day 30-75	Increase staffing productivity safely	Review role coverage, shift scheduling and agency reliance. Maintain mandated clinical coverage and prohibit unsafe labor cuts.
Day 45-90	Deploy prioritized renovation capital	Approve unit-turn budgets and contractor milestones. Track capex per ready-to-lease unit and disruption to existing residents.
Day 60-100	Create repeatable reporting	Weekly property scorecard for census, cash collections, NOI, agency labor, retention, adverse events and DSCR.
Day 90-100	Re-underwrite and make a capital decision	Replace assumptions with actual T3 performance and approved capex. Update bid ceilings and financing reserve requirements.

Non-negotiable controls

Zero unfilled legally required clinical shifts; documented escalation of high-severity care concerns; auditable monthly cash, resident count and collected revenue; spend approvals before renovation commitments; weekly dashboard ownership; and a Day 100 investment committee refresh.

Potential KPI scorecard

KPI	Calculation / governance
Physical occupancy	Occupied rooms divided by operationally available licensed rooms, by community.
Economic occupancy	Collected room revenue divided by revenue at full contracted pricing, with concessions explicit.
Resident flow	Qualified leads, tours, deposits, move-ins, discharges and resident retention.
Staffing	Required and filled shifts, agency hours share, overtime, incidents and care minutes by acuity.
Property cash yield	NOI less recurring reserves, loan interest, principal and approved extraordinary capex.
Debt coverage	Trailing 12 months NOI divided by actual scheduled debt service, subject to loan covenant definitions.

8. Methodology, source attribution and limitations

Excel calculation integrity

The standalone workbook contains a linked Inputs sheet, Scenarios sheet, five annual operating schedules for all six cases, debt amortization, Year 0 through Year 5 equity cash flows, discounted bid calculation, occupancy / exit cap table, simplified annual LP/GP waterfall and reconciliation checks. Derived numbers use formulas. Sourced facts and editable analyst assumptions use distinct input fields.

Limits of the simplified model

The annual projection approximates within-year occupancy stabilization and uses simplified fixed-coupon, first-year interest-only debt followed by level amortization. The acquisition is treated as a combined property/operating platform with a single aggregate NOI. No individual property lease schedules, property tax reassessment, labor productivity at the clinical shift level, supplemental resident care level mix, tenant-funded capital reimbursements or tax depreciation are modeled. The bid ceiling is mathematically consistent with this simplified capital structure only.

Scenario risk interpretation

The downside scenario increases occupancy, pricing, labor, operating costs, renovation and exit cap risk. A sale value below loan principal is represented as a sponsor funding requirement for full debt repayment; this should not be read as the legally enforceable obligation under a real non-recourse loan. Realistic default or refinance outcomes require the actual loan documents.

Primary public sources

Cima Investment Group, Sep 29 2026. North Texas 10-property, 359-unit portfolio
https://www.cimainvest.com/blog/cima-acquires-10-property-assisted-living-portfolio-in-north-texas

Cima Investment Group, Jun 18 2025. Three Houston acquisition including Katy 82-unit community
https://www.cimainvest.com/blog/cima-announces-acquisition-of-three-houston-based-senior-living-communities

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https://www.cimainvest.com/blog/cima-celebrates-grand-reopening-at-the-reserve-at-katy-following-renovation.

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https://www.nic.org/news-press/senior-housing-occupancy-nears-record-high-as-majority-of-markets-surpass-90

NIC MAP, 2026. Sector aggregate annual rent growth
https://www.nicmap.com/

CBRE, Jun 25 2026. H1 2026 Senior Housing and Care Investor Survey
https://www.cbre.no/en-gb/insights/reports/us-senior-housing-and-care-investor-survey-h1-2026

Research date and responsibility

As of November 2, 2026. Prepared as an independent portfolio project to demonstrate real estate private equity analysis. Cima has neither reviewed nor endorsed these materials. Model numbers are not audited or validated market valuations.